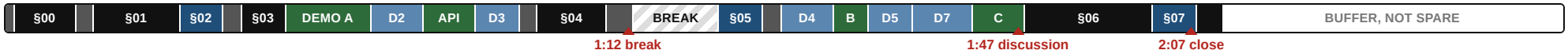
SESSION 4 · RUN OF SHOW AND RULE KEY · 2027 TERM

ASK = count four, answer it yourself. **Yellow** = the answer. **Black** = never drop. **GATE** = never skip.



BEFORE THE BREAK · TAB 1, CORE ONLY

0:00 (1) ZOOM — **OPEN. "Setup questions at the break, not now."**
Case 4 and Session 4 tabs up, Core only.

0:01 (2) §00 — **OBJECTIVE. Read "Session 4's one thing."**
Four stops: **In · Where · Check · Keep.** Non-advisors: "any recurring task at work."

0:03 (3) §00 — **BRIDGE. Four letters, said aloud, then click.**
b · c · a · c Then **Zoom out**: the model inside four stops.

0:10 (4) §01 — **CASE 4. Silent commit, letters in chat, the reveal.**
B · B · B "Pseudonymized, not anonymized." The case link is for anyone who skipped the page.

0:20 (5) §02 — POLL 1 ASK **How many AI rules bind you? Guess, sort.**
Lanes **2 = 1-5 · 3 = 6-8 · 1 = 9** **0** "The duty has existed since 1940." **Page 2.**

0:27 (6) §03 — GATE **"Name gone. What still points to her?"**
job + town: nurse manager, Naperville Prompt D: **9 keyed**. POLL 2 the note with no names: **all 8**, the task stays. Copy to chat.

0:32 (7) DEMO A — **WORK-ALONG. Transcript → clean it → banker test → switch off.**
Real transcript on screen: no. Cleaned off-screen, firm permitting: yes. **Stop 0:42.**

0:42 (8) D2, D3 — **D2 the contract. D3 six locks.**
Claude **up to 5 yrs on · off 30 days** M "Same model, different contract." Lock 1 **No → Stop** The firm's contract makes the vendor report in **72 h**.

1:01 (9) §04 — POLL 3 **Which moment started the 30 days?**
event 2 · notice by Day 33 Counsel's letter: 6 days late. Day 3: the vendor's **72 h** run. Day 30: the firm's **30 days**. Then the story.

1:12 (10) BREAK — **BREAK. Post "back at" a clock time, in their zone.**
Their clock time, not yours. 10 minutes.

AFTER THE BREAK · MARKS DO NOT COUNT THE BREAK

1:12 (11) §05 — GATE 2 **Record 3: "Could an examiner re-check it?"**
No: a summary repeats its error 1-4 B, 5-6 A. Record 6 **NOT FOUND** "Complete is not correct."

1:19 (12) D4, B — **"Better wording, or less access?"**
less access + approve each send Call: **(c)**, "I never called you." Then demo B: it read the hidden line.

1:29 (13) D5 — ASK **Of 100 memos, how many carry a wrong answer?**
about 61 At 33%: **86**. Priced: **90 vs 39, saves 51**.

1:34 (14) D7, C — **D7 the five-line trail. Demo C the watermark.**
Key A, Key B, off; a PNG → the checker → a screenshot: no credential. Run D5 before the discussion.

1:47 (15) §06 — **DISCUSSION. "Does the record cost more than the tool saves?"**
Smallest poll 3 group first, by name, 90 s. Once per workflow: **saves 41 · tips at 3** Vote again; say nothing about the delta.

2:02 (16) §07 — POLL 4 **Share of RIAs with no written AI policy?**
78% M Rows **a b a b b a** Copy the outline.

2:07 (17) CHAT — **CLOSING CHECK.** CHAT **one task: In, Where, Check, Keep?**
Read three aloud. No "keep"? Say so, kindly; name §05. **Do not skip.**

2:10 (18) ZOOM — **RESERVE, 40 min in the block. "What do you want to see?"**
D10 the handoff test (10), then D6 stale sources (13).

SETUP BEFORE CLASS

- **Tab 1** Session 4, Core only, at §00; **Tab 2** Case 4
- **Polls** four built · poll 3 not anonymous
- **Chat lines** case commit, break, closing · speaker labels on
- Read support.claude.com, how Claude marks AI-generated content

CHECKPOINTS

- **0:20** case opener done
- **1:12** break started
- **1:47** discussion begun
- **2:07** closing check

AFTER

- Transcript, chat, polls: 24 h

DROP ORDER IF LATE

- 1 Demo C · 2 D7 · 3 Demo B
- 4 D5 · 5 D4 · 6 API box
- 7 D2 · 8 D3 · then the story

NEVER DROP

- Case opener · §03 · §04 · discussion · closing check

HELD BACK

- D8, D9 beyond demo C; D1 (the demo covers it)
- Leaks 1, 3, 4, 6: theirs after class
- Vendor numbers, Claude's included, are **M**: say "as of their page"
- Any rule question you cannot answer from page 2: "I'll check it"

SESSION 4 · THE RULE KEY · §02'S NINE, IN SORTER ORDER

● binds ◐ a twin rule does the same job ○ no · **H / M / L** = how sure

No US securities rule was written for AI. Your registration decides which duties are yours; the CFP marks add CFP Board's Code on top.

RULE	PASSED · IN FORCE	WHAT IT DOES	RIA	BD	CFP	VENDOR	AI?	SAY IT · THE TRAP
LANE 2 · A DUTY YOU ALREADY HAVE · items 1 to 5 · binds you now, written before AI, reaches AI work unchanged								
1 Regulation S-P SEC · 17 CFR Part 248	**2000** · amended **May 2024** In force: **3 Dec 2025** ($1.5B+ RIAs), **3 Jun 2026** smaller: in force for all now [M]	Protect client NPI. Since 2024: a written **incident response program**, **clients told as soon as practicable, within 30 days** of awareness, vendor contracts that **report to the firm within 72 h**. No 24 h CCO clock.	●	●	◐	○	GENERAL	**"Pasting client data into a tool is a disclosure."** It needs a contract limiting the vendor's use; a consumer plan has none. TRAP "She is my client" is NPI by itself.
2 Fiduciary duty Advisers Act §206 · 15 USC 80b-6	**1940** · duty from *Capital Gains*, **1963** · SEC restated **2019** [H]	Duty of **care** (best interest, a reasonable basis, monitoring) and **loyalty**, for all advice.	●	◐	◐	○	GENERAL	**"The duty attaches to the advice, not the tool."** Unchecked AI output is advice with no reasonable basis. Twins: Reg BI (BD), A.1 (CFP).
3 FINRA Rule 3110 Supervision	In force **1 Dec 2014** [H]	A supervisory system and written procedures reasonably designed to catch violations.	◐	●	○	○	GENERAL	**"Your staff's AI work is still their work."** TRAP A binding rule, not guidance: the rule 24-09 points at. Advisers' twin: 206(4)-7, §203(e)(6).
4 FINRA Rule 2210 Communications with the public	In force **4 Feb 2013** · AI FAQs **May 2024** [M]	Fair, balanced, not misleading. **Retail** (25+ retail investors in 30 days): principal **pre-approves**. **Correspondence**: reviewed, kept.	◐	●	○	○	GENERAL	**"An AI-drafted email is a firm communication."** TRAP One client email is correspondence: no pre-approval. Advisers' twin: the Marketing Rule.
5 Books and records Advisers 204-2 · BDs 17a-4, FINRA 4511	204-2 since **1961** [M]	Keep what supports advice and business mail: **5 yrs** advisers, **3 yrs** BD mail, **6 yrs** FINRA default.	●	●	○	○	GENERAL	**"A prompt and output that support advice are records."** TRAP No rule names prompts yet. Say "treat as", not "the rule says".
LANE 3 · GUIDANCE OR A PROPOSAL · items 6 to 8 · names AI, binds nobody								
6 FINRA Notice 24-09 Regulatory Notice, generative AI	**27 Jun 2024** · still active, not rescinded [M]	Reminds member firms the existing rules apply to generative AI. **No new requirement.**	○	○	○	○	NAMES AI	**"No new requirement. The existing rules apply."** TRAP Naming AI does not make it binding. It is a signpost to rows 3 to 5.
7 SEC exam priorities FY2026, Division of Examinations, §VII	**17 Nov 2025** · states it has **"no legal force or effect"** [M]	What examiners test: AI claims, AI supervision, Reg S-P readiness, polymorphic malware.	○	○	○	○	NAMES AI	**"No duty. It tells you which duties get checked."** TRAP Not a rule; the rules under it bind. FY2027 not found as of 11 Oct 2026: check before class.
8 SEC analytics proposal Predictive data analytics, S7-12-23	Proposed **Jul 2023** · withdrawn **12 Jun 2025**, with 13 others [M]	Would have made firms neutralise conflicts in AI tools used with investors.	○	○	○	○	NAMES AI	**"The one US proposal that would have named the technology. Withdrawn: binds nobody."**
LANE 1 · A RULE WRITTEN FOR AI · item 9 · names AI, binds someone, not you								
9 EU AI Act, Art. 50 Regulation (EU) 2024/1689	In force **Aug 2024** · Art. 50 **2 Aug 2026**; older tools **2 Dec 2026** [M]	AI providers mark AI output machine-readably; deployers label deepfakes.	○	○	○	●	AI LAW	**"Binding law that names AI. Not a US securities rule."** It is why Claude marks its text. TRAP It binds Anthropic, not a US adviser with US clients.

WHO YOU ARE → YOUR ROWS

- **Rep of an SEC-registered adviser**: 1, 2, 5 + Marketing Rule, 206(4)-7
- **Rep of a broker-dealer**: 1, 3, 4, 5 + Reg BI for 2
- **Dual registrant**: 1 to 5
- **State-registered adviser**: 2, state records rules, FTC Safeguards Rule (not S-P)
- **CFP marks, any of these**: + Code A.1, A.9 privacy, A.14 technology
- **Non-advisors**: none by registration; the employer's policy

ALSO NAMED ON THE PAGE

- **CFP Board Code**, in force 1 Oct 2019. **A.14**: reasonable care selecting, using and recommending technology. Binds every CFP pro. General.
- **CFP GenAI Ethics Guide**, Feb 2025: pseudonyms, strip details before upload. Guidance.
- **AI-washing**, 18 Mar 2024: $225,000 and $175,000, Marketing Rule, AI claimed, not used [M].
- **Daly**, SEC, 3 Feb 2026: who answers for wrong AI output is "unsettled".

IF YOU ARE ASKED

- **"Does the vendor owe the 72 h?"** No, the firm does: the rule makes its policies require it [M].
- **"Are prompts records?"** Unresolved. FINRA's 2026 report suggests prompt and output logs [M]. Keep them.
- **"Is pre-approval going away?"** Proposed Jul 2026, Notice 26-14 [M]. Not adopted.
- **"Who can read Claude's mark?"** Bodies EU law names, and firms the Act obliges. Anthropic says it carries no identifying information [H].